Strategic Case Study
Predicted Paper 5 - Suggested Answers
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Question 1(a) - Strategic suitability of Lioncrest Capital Partners as investor (12 marks)

The Board should not evaluate Lioncrest Capital Partners (LCP) only by looking at the investment amount. The key question is whether LCP is the right long-term partner for KMCH's strategy, ownership culture, premium brand and governance maturity. A poor strategic investor may provide funds but create pressure for unsuitable expansion, excessive leverage or loss of family control.

Strategically, LCP could be suitable because KMCH has reached a stage where organic growth funded only through retained earnings and bank debt may be too slow. KMCH wants new-city expansion, IT platform improvement, corporate leasing growth, selected acquisition opportunities, and stronger management reporting. LCP's proposed Rs 1,500 million investment could provide growth capital without the immediate cash servicing burden of bank debt. It could also improve KMCH's credibility with lenders, corporate customers, vendors and potential acquisition targets.

LCP may also help professionalise KMCH. The term sheet requires monthly management accounts, operational dashboards, audited financial statements within 90 days and quarterly Board packs. These requirements may feel demanding, but they are consistent with the discipline needed if KMCH wants to move from a family-managed business to a national mobility platform. Better reporting could strengthen decisions on fleet utilisation, pricing, capital allocation, customer profitability and risk management.

However, LCP is a financial investor and its objectives may not fully match the founding family's objectives. LCP expects an exit within five to seven years. This may encourage faster growth, higher valuation focus and more aggressive performance targets than KMCH's current culture can absorb. The risk is that management may be pushed into acquisitions, rapid depot expansion or cost cuts that damage the premium customer experience.

Control is also a major issue. LCP seeks 40% of the enlarged ordinary share capital, two Board seats while it holds at least 25%, approval rights over budgets, borrowings, major capital expenditure, acquisitions, related-party transactions, dividend policy and new share issues. These rights are not unusual for a private equity investor, but if drafted too broadly they could slow operational decisions or effectively give LCP veto power over strategic direction.

The Board should also consider cultural fit. KMCH's competitive advantage is not only its fleet; it is service quality, trust, customer relationships and operational responsiveness. If LCP understands that the premium brand requires patient investment in people, systems, safety and customer experience, it could be a useful partner. If it focuses mainly on short-term EBITDA and exit valuation, the relationship may become damaging.

LCP's sustainability and governance expectations are positive if they lead to practical improvements in emissions monitoring, safety, employee training, data privacy and Board oversight. These requirements should not become a cosmetic reporting exercise, but they may reduce operational risk and support institutional investor confidence.

KMCH's readiness for investor scrutiny is another consideration. Before accepting LCP, KMCH should assess whether its finance function, tax records, fleet records, customer contracts, related-party arrangements, IT controls and management reporting can withstand due diligence. If not, the investment timetable may be delayed or LCP may use due diligence findings to reduce valuation or demand stronger controls.

Overall, LCP appears strategically suitable in principle because KMCH needs capital, governance discipline and platform capability to scale. However, the Board should negotiate valuation, reserved matters, reporting scope, exit rights and dividend restrictions carefully. The transaction should proceed only if LCP's rights protect its investment without undermining the family's ability to manage the business and preserve KMCH's premium service culture.

Question 1(b) - Strategic attractiveness of growth options using SAF (12 marks)

The proposed LCP funds should not be spread thinly across every possible initiative. KMCH should prioritise options that are suitable to its strategic position, acceptable to key stakeholders and feasible given management capacity, systems and funding constraints.

1. IT platform development

- Suitable: This is highly suitable because KMCH is attempting to scale beyond its current footprint. A stronger booking app, customer data platform, pricing engine, telematics integration and reporting dashboard would support almost all other strategic options. It would improve utilisation, dynamic pricing, customer segmentation, franchise monitoring, corporate reporting and Board decision-making.
- Acceptable: This option should be acceptable to LCP because it improves scalability, data quality and investor reporting. It should also be acceptable to management because it strengthens control rather than transferring control to an external party. Customers may benefit from better booking, handover and service recovery.
- Feasible: The required funding of Rs 320 million is significant but manageable within the proposed funding plan. The main feasibility risks are implementation delays, cybersecurity, integration with legacy systems, user adoption and dependence on external vendors. These risks can be managed through phased implementation, vendor due diligence, pilot testing and clear project governance.
- Conclusion: IT platform development should be a top priority because it is an enabling investment. Without it, expansion, franchise monitoring, acquisition integration and corporate leasing may all become harder to control.

2. Corporate leasing growth

- Suitable: Corporate leasing fits KMCH's premium positioning and can provide relatively stable revenue from banks, multinationals, travel agencies and project-based customers. It also uses KMCH's existing strengths in fleet management, service quality and customer relationships.
- Acceptable: It may be attractive to LCP because it can improve visibility of future revenue and valuation. It may also be acceptable to family shareholders because it supports growth without changing the brand identity. However, customers may demand strict service-level commitments and price protection.
- Feasible: The option requires Rs 360 million of fleet expansion and Rs 180 million working capital buffer. Feasibility depends on contract quality, receivable collection, maintenance capacity and ability to price fuel, insurance and interest-rate risk into contracts. Poorly priced long-term contracts could lock KMCH into low margins.
- Conclusion: Corporate leasing should be pursued selectively with strong contract terms, customer credit assessment, escalation clauses and minimum utilisation commitments. It is attractive but should not be allowed to create uncontrolled receivables or fleet concentration risk.

3. New-city expansion

- Suitable: New-city expansion supports market development and could move KMCH towards a national premium mobility platform. Islamabad and Faisalabad may offer corporate, airport, family and premium self-drive demand.
- Acceptable: It may be acceptable to LCP because it creates visible growth and market share. However, it may concern the family shareholders if expansion weakens service quality or increases management complexity. Customers will accept the expansion only if KMCH can replicate its service standards.

- Feasible: This option requires Rs 520 million and depends on local teams, trained depot managers, fleet availability, permits, city-specific demand, corporate relationships and maintenance support. Given previous concerns around operations, KMCH should avoid opening too many locations at once.
- Conclusion: New-city expansion is attractive but should be phased. KMCH should start with cities where demand is strongest and where management has reliable local execution capability.

4. Acquisition of a smaller regional operator

- Suitable: Acquisition could accelerate entry into the northern corridor by providing permits, local drivers, customer relationships and depot access. It may support tourism growth and reduce time to market.
- Acceptable: LCP may like acquisition-led growth because it can accelerate scale. However, the Board should be cautious because acquisition risk is high. Family shareholders may be uncomfortable if integration problems damage the KMCH brand.
- Feasible: The target has Rs 410 million revenue and normalised EBITDA of Rs 66 million, but 35% of its fleet is older than six years, 48% of revenue comes from the top five customers, systems are not integrated and tax/insurance records have not been externally verified. These are material due diligence issues.
- Conclusion: The acquisition should be treated as conditional, not a first use of funds. KMCH should proceed only after commercial, financial, tax, legal, fleet and IT due diligence. An earn-out or staged acquisition may be safer than paying the full asking price upfront.

5. Motorcycle tourism

- Suitable: Motorcycle tourism offers differentiation and can strengthen KMCH's tourism proposition, especially in northern routes. It may create a distinctive brand experience rather than only competing on car rental price.
- Acceptable: This option may be less acceptable to risk-averse Board members and insurers because of higher safety, accident, seasonality and reputational risks. LCP may also view it as interesting but non-core unless controls are strong.
- Feasible: Feasibility depends on safety training, insurance, route planning, maintenance, weather risk, customer screening, guide quality and emergency response. Demand may also be seasonal and more volatile than corporate leasing.
- Conclusion: Motorcycle tourism should not be a major initial use of LCP funds. It can be piloted on a small scale after safety, insurance and operational controls are proven.

Overall recommendation: KMCH should prioritise IT platform development and selective corporate leasing, then phase new-city expansion. The regional acquisition should proceed only after due diligence and price renegotiation. Motorcycle tourism should be a controlled pilot rather than a major deployment of investor funds.

Question 1(c) - Responsible growth plan: environmental, social and governance response (8 marks)

LCP is not asking for a public-relations document. KMCH should prepare a practical responsible growth plan that links growth to measurable operational controls and Board oversight. The plan should be organised under separate environmental, social and governance headings.

Environmental matters

- Fleet fuel consumption and emissions should be measured by vehicle class, depot and service line. This will help KMCH identify inefficient vehicles and high-consumption routes.
- Fleet transition should be realistic. KMCH should consider fuel-efficient, hybrid or EV vehicles where commercially viable, but should avoid committing to a rapid green transition that cannot be financed or supported by charging infrastructure.
- Preventive maintenance, tyre management and driver behaviour monitoring can reduce fuel consumption and emissions without immediately replacing the entire fleet.
- Any environmental marketing claims should be supported by reliable data to avoid greenwashing risk.

Social matters

- Customer safety should be central to responsible growth. KMCH should track inspections, breakdowns, accident rates, roadside response times and unresolved customer claims.
- Employee welfare should include driver training, customer-service training, overtime monitoring, grievance handling, staff turnover and safe working hours.
- Telematics and customer data should be used ethically. Customers and drivers should know what data is collected, why it is collected and who can access it.
- Expansion through franchisees, vendors or acquisition targets should not reduce safety or customer-service standards.

Governance matters

- The Board should receive regular reporting on material financial, operational, safety, customer, people and data risks.
- Clear accountability should be assigned for responsible growth data. Unsupported estimates should not be presented as performance achievements.
- KMCH should strengthen controls over franchisees, vendors and acquisition targets before scaling through external partners.
- LCP should receive governance reporting that supports oversight, but reporting should not become a mechanism for day-to-day interference.

Conclusion: A disciplined ESG plan will help KMCH manage real business risks and satisfy LCP. It should focus on measurable actions, reliable data and Board oversight rather than broad promises.

Question 2(a) - CAPM cost of equity and WACC (8 marks)

The CAPM calculation uses a listed-company proxy beta. Since KMCH is a private company and its shares are not easily traded, a private-company / illiquidity premium should be added to the CAPM cost of equity. A 1% to 2% premium would be reasonable; the calculation below uses 1.5% as a midpoint.

Working	Calculation	Result
Proxy debt:equity ratio	35:65 = 0.5385	0.5385
Asset beta	1.35 / [1 + (1 - 29%) x 0.5385]	0.977
KMCH target debt:equity ratio	40:60 = 0.6667	0.6667
Re-levered equity beta	0.977 x [1 + (1 - 29%) x 0.6667]	1.439
CAPM cost of equity	12.0% + beta x (19.0% - 12.0%)	22.1%
Illiquidity premium for private co.	1% to 2%	1.5%
Adjusted cost of equity	22.1% + 1.5%	23.6%
Post-tax cost of debt	15.0% x (1 - 29%)	10.7%
WACC	60% x cost of equity + 40% x post-tax cost of debt	18.4%

If a 1% illiquidity premium is used, the cost of equity would be approximately 23.1%. If a 2% premium is used, it would be approximately 24.1%. Therefore, the WACC is not a precise number; it is an estimate that should be sensitivity-tested.

The WACC of approximately 18.4% should be used for valuing FCFF and for appraising projects with a risk profile similar to KMCH after the proposed investment. It should not be applied mechanically to all projects. Higher-risk acquisitions, motorcycle tourism or untested technology projects may require a higher discount rate, while lower-risk contracted corporate leasing may justify a lower risk adjustment.

Question 2(b) - Valuation of KMCH and assessment of Lioncrest offer (16 marks)

The Board should consider a valuation range, not a single point estimate. The earnings multiple, DCF and adjusted net asset methods each answer a different question and each has limitations for a private family-owned company such as KMCH.

Working 1 - Earnings-based valuation using EV/EBITDA

Item	Calculation	Rs million
Reported EBITDA	Given	510.0
Add back one-off restructuring and advisory costs	Non-recurring cost included in expenses	32.0
Less recurring professionalisation cost	Expected future recurring cost	(18.0)
Maintainable EBITDA	510 + 32 - 18	524.0
Base comparable EV/EBITDA multiple	Given	7.5x
Adjusted multiple	7.5x less 20% private-company/governance discount plus 10% brand/customer premium	6.75x
Enterprise value	524.0 x 6.75	3537.0
Less net debt	Given	(920.0)
Equity value using EV/EBITDA	3537.0 - 920.0	2617.0

This method is useful because EBITDA is commonly used for mobility, transport and asset-heavy businesses. It focuses on maintainable operating earnings before financing structure and can be compared with market and transaction multiples. However, it is highly sensitive to the selected multiple and to normalisation adjustments. It may not fully capture future growth, system weaknesses, capex intensity or working-capital requirements.

Working 2 - Earnings valuation using P/E multiple

Item	Calculation	Rs million
Reported profit after tax	Given	238.0
After-tax add-back of one-off costs	32 x (1 - 29%)	22.7
After-tax recurring professionalisation cost	18 x (1 - 29%)	(12.8)
Maintainable PAT	238 + 22.7 - 12.8	247.9
Private transaction P/E multiple	Given	10.5x
Equity value using P/E	247.9 x 10.5	2603.4

The P/E method is easy for shareholders to understand because it values equity directly by reference to maintainable profit after tax. It is useful where earnings are stable. However, it is affected by financing structure, depreciation policy and tax assumptions. For KMCH, PAT may not fully represent cash generation because the business is fleet-intensive and requires recurring capital expenditure.

Working 3 - DCF valuation using FCFF

Cash flow	FCFF / TV	Discount factor at 18.4%	Present value
Year 1	385.0	0.845	325.2
Year 2	440.0	0.713	313.9
Year 3	510.0	0.602	307.2
Year 4	585.0	0.509	297.6
Year 5	650.0	0.430	279.3
Terminal value at Year 5	5092.0	0.430	2188.1

Enterprise value from DCF			3711.3
Less net debt			(920.0)
Equity value from DCF			2791.3

The DCF method is theoretically the strongest method because it values the company based on expected future free cash flows and the required return of providers of capital. It is particularly relevant where the value of KMCH depends on future growth, platform development and operating improvements. However, the result is sensitive to the WACC, terminal growth rate and management forecasts. In this calculation, the terminal value is a large part of total value, so the Board should sensitivity-test WACC, growth and cash-flow assumptions before relying on the DCF value.

Working 4 - Adjusted net asset valuation

Item	Rs million
Net book value of equity at 31 March 2026	2,180.0
Excess of independent fleet valuation over carrying amount	410.0
Increase in value of owned depot land and buildings	320.0
Fair value of internally developed booking platform not recognised	180.0
Potential provision for unresolved insurance and customer claims	(70.0)
Estimated deferred tax / transaction adjustment	(90.0)
Adjusted net asset valuation	2930.0

Adjusted net asset valuation is relevant for KMCH because it is asset-intensive and owns a significant fleet, depot land/buildings and internally developed platform capability. It provides a useful floor or cross-check. However, it does not directly value future earnings, customer relationships, brand, management capability or growth options. It may also overstate value if assets cannot be sold without damaging operations.

Valuation range and assessment of Lioncrest offer

Method	Equity value (Rs million)	Interpretation
EV/EBITDA multiple	2617.0	Market/transaction benchmark based on maintainable operating earnings.
P/E multiple	2603.4	Equity earnings benchmark based on maintainable PAT.
DCF	2791.3	Forward-looking cash-flow value; sensitive to WACC and terminal growth.
Adjusted net assets	2930.0	Asset-backed cross-check and possible floor value for an asset-heavy business.

The valuation range is approximately Rs 2603 million to Rs 2930 million, with adjusted net assets at about Rs 2930 million and DCF at about Rs 2791 million. LCP's implied pre-money valuation of Rs 2,250 million is below all four valuation indications.

This does not mean the offer must be rejected. LCP is providing new money, governance support and market credibility, and the valuation may reflect private-company illiquidity, family-company governance risk, execution risk and future funding needs. However, the proposed 40% shareholding for Rs 1,500 million appears favourable to LCP compared with the valuation evidence. The Board should negotiate either a higher pre-money valuation, a lower initial shareholding, staged investment, ratchets based on performance, or an alternative instrument such as convertible debt or preference shares.

For negotiation, the Board should place most weight on DCF and EV/EBITDA, supported by adjusted net assets as a cross-check. P/E is helpful but less reliable because KMCH is capital-intensive and PAT may not fully capture cash-flow and reinvestment needs. An independent valuation should be obtained before binding documents are signed.

Question 2(c) - Financing structure and control implications (8 marks)

The Board should evaluate the financing alternatives by considering cost, cash-flow pressure, control, dilution, covenant risk, investor alignment and strategic flexibility. The structure should not be chosen only because it appears cheaper in the short term.

Ordinary shares to LCP

- Ordinary equity is permanent capital and does not create mandatory interest, redemption or coupon payments. This is helpful because KMCH is funding growth and may need cash for fleet, platform, working capital and acquisition integration.
- The disadvantage is dilution. LCP would receive 40% of the enlarged ordinary share capital, which is a large stake for a family-owned company. It may reduce the family's economic upside and influence over future exits.
- Ordinary equity also gives LCP direct participation in upside value creation, which may align LCP with long-term growth. However, if reserved matters are too broad, LCP may gain negative control over strategic decisions.
- This structure is suitable if the Board accepts dilution in return for lower financial risk and professionalisation support, but valuation and reserved matters should be renegotiated.

Redeemable preference shares

- Preference shares may reduce voting dilution if they carry limited voting rights. This can help the family preserve control.
- However, the cumulative dividend of 13.5% creates a recurring economic burden. If unpaid, arrears may accumulate and create pressure in later years.
- Redemption after six years may create refinancing or liquidity risk, especially if growth projects take longer to mature.
- Preference shares may be useful if KMCH wants to protect voting control, but the Board must ensure the dividend and redemption profile is affordable.

Convertible debt from LCP

- Convertible debt provides immediate funding with a lower cash coupon of 10.5% compared with the expected bank borrowing rate. It may defer the valuation debate until later.
- The conversion feature allows LCP to participate in upside, particularly as conversion is at a 20% discount to the next qualified equity valuation subject to a valuation cap. This can create significant future dilution if KMCH performs well.
- The instrument may be attractive where both parties cannot agree valuation today. However, the valuation cap and conversion mechanics must be carefully modelled because they may transfer future upside to LCP.
- Convertible debt may also include debt-like protections, covenants and default rights. It should therefore be evaluated as both a financing instrument and a future control instrument.

Additional bank borrowing

- Bank borrowing avoids ownership dilution and may be simpler than negotiating investor rights. It also preserves family ownership if KMCH remains within covenant limits.
- The problem is cash-flow and interest-rate risk. A Rs 1,000 million floating-rate term loan at KIBOR plus 3% would increase finance cost and expose KMCH to rate increases.
- Bank debt may require security over fleet and a minimum interest cover covenant of 2.8 times. This could constrain future investment decisions and increase pressure during downturns.

- Additional debt is therefore less suitable if KMCH is already concerned about macroeconomic volatility and funding several projects simultaneously.

Investor rights and control

- LCP should receive reasonable investor protections over major matters such as large borrowings, major acquisitions, asset disposals, related-party transactions and new share issues.
- However, day-to-day management decisions such as customer pricing within approved policy, staff deployment, vendor selection within approved limits and operational scheduling should remain with management.
- The Board should avoid reserved matters that are too broad or ambiguous, because they may create delays and conflict between LCP and the family shareholders.

Recommendation: Ordinary equity is financially cleaner but dilutive. Convertible debt or preference shares may reduce immediate dilution but create future claims and complexity. The best structure may be a negotiated package: lower initial ordinary equity shareholding, staged funding, clear reserved matters and possibly a small convertible component rather than giving LCP 40% ordinary equity immediately at a low valuation.

Question 2(d) - Dividend decision and funding impact (12 marks)

Dividend policy should be assessed using both calculations and shareholder considerations. In theory, if capital markets were perfect and investment policy were unchanged, dividend timing might not affect shareholder wealth because shareholders could create their own cash flows. In KMCH's real situation, dividend policy matters because KMCH is private, external finance is costly, some shareholders rely on dividends and retained earnings can reduce dilution or borrowing while funding growth.

Item	Rs million
Total growth funding requirement	1,470.0
Estimated transaction costs if LCP investment proceeds	55.0
Total funding need before internal cash and retained earnings	1,525.0
Opening cash available	185.0
Minimum cash balance desired by Board	(120.0)
Cash available for discretionary funding	65.0
Forecast PAT for year ending 31 March 2027	310.0

Dividend option	Dividend paid	Retained earnings	Internal funds available	External funding gap	Dividend per current share (Rs)
40% payout	124.0	186.0	251.0	1274.0	4.96
20% payout	62.0	248.0	313.0	1212.0	2.48
0% payout	0.0	310.0	375.0	1150.0	0.00

- Maintaining the existing 40% payout gives family shareholders Rs 124 million of cash but leaves an external funding gap of Rs 1,274 million. This increases dependence on LCP, preference capital or bank borrowing and may weaken KMCH's negotiating position.
- Reducing the payout to 20% saves Rs 62 million compared with the existing policy and reduces the funding gap to Rs 1,212 million. This recognises shareholder expectations while showing LCP and lenders that shareholders are sharing the burden of growth funding.
- Suspending dividends provides the strongest internal funding position and reduces the external funding gap to Rs 1,150 million. However, it may create family shareholder resistance and could be interpreted as financial stress if poorly communicated.
- The difference between maintaining and suspending dividends is Rs 124 million. This will not fund the whole plan, but it can reduce dilution, debt or preference dividends and signal financial discipline.
- The key question is whether retained earnings can be reinvested at returns above the cost of capital. If retained funds are used for value-accretive IT, corporate leasing or expansion projects, shareholders may be better off accepting lower short-term dividends for higher long-term value.

Recommendation: KMCH should not maintain the 40% payout while asking LCP to provide growth capital. A temporary reduction to around 20% for one or two years is the most balanced policy. Full suspension may be justified if the Board approves a major acquisition or heavy capital programme, but it should be communicated as a reinvestment decision rather than a liquidity crisis. Dividend policy should be linked to free cash flow, covenant headroom, minimum cash balance and approved project returns.

Question 3(a) - Income tax and transaction implications under the Income Tax Ordinance, 2001 (8 marks)

The Board should analyse the tax consequences by transaction component. A primary issue of shares, a secondary sale by existing shareholders, dividends, transaction costs and acquisition of a regional operator are not taxed in the same way.

Primary issue of new shares to LCP

- If LCP subscribes for new shares issued by KMCH, the amount received by KMCH is a capital contribution. It is not ordinary business income under section 18 of the Income Tax Ordinance, 2001 because KMCH is not earning it from providing car rental or mobility services.
- The share issue should still be supported by corporate approvals, valuation evidence and proper documentation. If shares are issued at an unusual value or to an associated person in future, the fair market value principles in section 68 and the associate transaction principles in section 108 may become relevant.
- Professional costs directly linked to issuing share capital are likely to be capital in nature and should not be assumed to be deductible as normal business expenditure under section 20.

Secondary sale of shares by existing shareholders

- If existing shareholders sell shares to LCP, proceeds belong to the selling shareholders and do not provide funds to KMCH.
- Capital gains on disposal of shares should be considered under section 37 where the shares are not listed securities. If the shares qualify as securities subject to the securities regime, section 37A may be relevant. The exact treatment depends on the legal nature of the shares and whether they fall within the relevant definition.
- The selling shareholders should maintain evidence of original cost, acquisition date, sale consideration and valuation basis. A below-market or above-market transfer may invite fair value scrutiny under section 68.

Dividend payments

- Dividends are specifically taxed under section 5 of the Income Tax Ordinance, 2001. KMCH should not treat dividends as deductible business expenditure; they are distributions of profit after tax.
- Withholding on dividend payments is generally dealt with under section 150. Before declaring dividends, KMCH should ensure compliance with withholding, filing and payment obligations.
- The Board should also distinguish dividends from profit on debt, preference returns or redemption premiums, because the tax character may differ depending on the legal form of the instrument.

Investor transaction costs and financing costs

- Under section 20, expenditure is generally deductible against business income where it is incurred wholly and exclusively for business purposes and is not capital in nature.
- Section 21 contains disallowance provisions. Therefore, legal, advisory and due diligence costs should be analysed carefully. Costs connected with raising share capital, acquiring a capital asset or purchasing a business may be capital in nature rather than immediately deductible.
- If KMCH raises debt, profit on debt may be considered under the relevant provisions for business deductions, subject to normal admissibility, withholding and documentation requirements. The tax treatment of convertible debt should be reviewed before signing because it has both debt and equity features.

Acquisition of a smaller regional operator

- If KMCH buys assets, tax bases, depreciation pools, sales tax records and specific liabilities need to be identified. If KMCH buys shares, historic tax exposures remain inside the target company.
- Tax due diligence should cover income tax, withholding tax, sales tax, payroll taxes, pending assessments, unrecorded liabilities and compliance with return filing and payment obligations.
- Any losses in the target should not be assumed to be freely usable by KMCH. Loss carry-forward and change in ownership restrictions, including section 57 and section 57A considerations, should be reviewed.
- If the acquisition creates group arrangements, group taxation or group relief should not be assumed automatically; the detailed conditions in sections 59AA and 59B should be checked separately.

Inter-company charges after investment or acquisition

- If KMCH charges management fees, technology fees, brand fees or service charges to subsidiaries, franchisees or an acquired entity, the charges should be commercially supportable.
- Section 108 allows the Commissioner to re-characterise or reallocate income, deductions or tax credits between associates so that the result reflects an arm's-length outcome.
- Accordingly, inter-company pricing should be supported by agreements, service evidence, allocation keys and fair value analysis.

Conclusion: The Board should obtain transaction-specific tax advice before signing binding documents. The tax answer depends on whether LCP subscribes for new shares, buys existing shares, invests through preference shares/convertibles, or funds an acquisition. The commercial form and tax treatment must be aligned.

Question 3(b) - Governance, reporting and investor protection mechanisms (8 marks)

LCP should receive appropriate investor protections, but these protections should not allow it to manage KMCH day-to-day. The agreement should create disciplined oversight while preserving management accountability.

Board representation and observer rights

- LCP may reasonably receive Board representation if it invests Rs 1,500 million and holds a significant minority stake.
- Two Board seats while LCP holds at least 25% may be acceptable, but the Board should ensure that family shareholders and independent judgement are not overwhelmed.
- Observer rights below 25% should be clearly defined. Observers should receive information and attend meetings but should not vote or interfere with executive decisions.

Reserved matters

- Reserved matters should be limited to major strategic and value-protective decisions such as major acquisitions, borrowings above thresholds, major capex, related-party transactions, disposal of significant assets, new share issues and changes in dividend policy.
- Reserved matters should not cover routine pricing, normal procurement, ordinary hiring, day-to-day fleet deployment or operational scheduling. Otherwise, management will become slow and dependent on investor approval.
- Monetary thresholds should be clear so that approvals are not required for immaterial matters.

Reporting package

- LCP should receive monthly management accounts, operational dashboards, quarterly Board packs and audited annual financial statements within agreed deadlines.
- The reporting pack should focus on decision-useful KPIs: revenue, margin, cash flow, receivables, fleet utilisation, downtime, customer complaints, safety incidents, capex, debt and covenant headroom.
- Reporting should not be so detailed that LCP effectively becomes part of daily management. The purpose is oversight, not operational control.

Controls over conflicts and related-party transactions

- Related-party transactions should require disclosure, pricing support and approval by disinterested directors or shareholders where appropriate.
- This protects both LCP and the family shareholders and reduces future disputes about value leakage.

Exit, anti-dilution and deadlock provisions

- LCP's exit expectations should be documented but should not force a distressed sale or premature listing if market conditions are poor.
- Anti-dilution rights should be reasonable and should not prevent future fundraising on commercial terms.
- Deadlock mechanisms should be practical: escalation to chair/founder, mediation, buy-sell provisions or agreed expert determination for valuation disputes.

Recommendation: KMCH should accept disciplined governance and reporting requirements, but it should negotiate clear boundaries. LCP should protect its investment through reserved matters and reporting, while operational authority remains with management and the Board.

Question 3(c) - Acquisition due diligence and post-acquisition integration (8 marks)

The regional operator could accelerate entry into Islamabad, Murree and the northern corridor, but KMCH should not rely only on the seller's headline revenue, EBITDA or asking price. Due diligence is essential because the target has older vehicles, customer concentration, separate systems and unverified insurance/tax records.

Commercial due diligence

- Validate the sustainability of Rs 410 million revenue and whether demand is recurring or seasonal.
- Review the top five customers because they represent 48% of revenue. KMCH should assess contract terms, renewal likelihood, pricing, payment behaviour and whether relationships depend personally on the retiring owner.
- Assess local tourism relationships, permits, route access, depot locations and competitive position in the northern corridor.
- Test whether KMCH can maintain premium pricing or whether the target competes mainly on low price.

Financial due diligence

- Verify EBITDA of Rs 58 million and normalised EBITDA of Rs 66 million. Adjustments for owner salary and one-off repairs should be supported by evidence.
- Assess working capital quality, receivable recoverability, hidden liabilities, overdue payables and off-balance-sheet commitments.
- Compare the asking price of Rs 430 million with maintainable EBITDA. The implied multiple is approximately 6.5 times normalised EBITDA, which should be benchmarked against risk and synergy potential.
- Review capex needs because 35% of the fleet is older than six years. The purchase price may be unattractive if major replacement is required immediately after acquisition.

Operational due diligence

- Inspect fleet condition, maintenance records, accident history, vehicle documentation and insurance coverage.
- Review depot quality, workshop arrangements, vendor contracts and roadside response capability.
- Assess whether the target's booking system can be integrated into KMCH's platform without disrupting customers.
- Review staff capability, driver quality, customer-service standards and whether key employees will remain after the owner exits.

Legal and tax due diligence

- External advisors should review income tax, sales tax, withholding tax, payroll and pending assessment exposures.
- Insurance and accident records should be independently verified because unresolved claims could create hidden liabilities.
- Customer contracts, permits, leases, vehicle ownership documents and employment matters should be checked before any binding offer.

Post-acquisition integration risks

- KMCH should prepare a 100-day integration plan covering brand standards, fleet inspection, customer communication, staff retention, system migration and financial reporting.
- The owner should remain for a transition period if customer relationships and local knowledge are important.

- Integration should be phased so that the target's customers are not disrupted. Immediate rebranding may be risky if service standards are not yet aligned.
- KMCH should consider an earn-out or deferred consideration linked to retained customers, verified EBITDA and successful transfer of permits/relationships.

Conclusion: KMCH should proceed only if due diligence confirms sustainable earnings, acceptable tax/legal exposure, reliable fleet condition and manageable integration cost. If risks remain significant, KMCH should negotiate a lower price, an earn-out, warranties/indemnities, retention of the owner for transition, or choose organic expansion instead.